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SOURCES OF LABOR DISCONTENT IN CHINA: THE WORKER-PEASANT SYSTEM

by

The Editor

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The Cultural Revolution has been marked by clashes among factions (and sometimes alliances) of workers, peasants, and students. Reports of the clashes have described the combatants as members of "conservative" or "revolutionary" factions, labels which provide few hints to the beliefs or goals of the opposing groups. Some of these beliefs and goals are revealed, however, in the labor unrest which preceded but has been intensified by the Cultural Revolution.

A considerable body of evidence suggests that one important source of discontent stems from the widespread extension of the worker-peasant labor system, beginning in 1964 and continuing through the present. In brief, that system provides for the use of seasonal or part-time labor from rural communes (and in some instances from the ranks of the urban unemployed) to replace permanent workers in industrial enterprises. Displaced workers, in turn, have been assigned to agricultural production teams in the countryside. This system, which owes much to Maoist ideology, is not only discriminatory in that lower wages are paid to peasants who work part-time in factories, mines and elsewhere, but is also designed to transfer from the state budget to the rural communes the burden of providing food as well as medical and other welfare benefits for an entire class of industrial workers.

In mining areas, for example, the communes appear to have been obliged to support elderly miners whose places have been taken by young worker-peasants. In fact, there has been a clear attempt to use temporary workers from the farms (but who generally continue to draw rice rations from parent communes) to displace some permanent mine and factory laborers, who would be transferred to rural areas. Many processing operations have also been transferred from cities, particularly port cities, back to the communes.

On the political-ideological plane, the worker-peasant system has been endorsed as one of the Mao-sponsored methods by which the difference between farm and factory work can be eliminated. In economic terms, the hope, seemingly, is to maintain production levels while reducing the national wage bill and the cost of fringe benefits by diminishing the number of permanent industrial workers. This is theoretically possible because temporary and contract laborers (two basic types of worker-peasants) remain members of their parent communes; they do not become members of trade unions and thus are not eligible for free medical care, unemployment and retirement pay, or for other benefits given to permanent industrial workers.

The worker-peasant system also limits or reduces the State's burden of providing food to urban areas. Financially, it is presumably intended as a means of utilizing resources for increased capital investment rather than for immediate consumption.

Other manpower schemes undertaken simultaneously with the worker-peasant system, particularly the assignment of workers, apprentices and unemployed urban youths to rural and frontier areas, have generated massive resistance. Indeed, in the first flush of 1967's "January Revolution", many workers joined "rebel" groups to air their grievances or to protect their existing positions, sometimes resorting to mob action. As a result, the Maoists were forced to outlaw such groups, in some instances using the People's Liberation Army (PLA) to suppress unofficial and unapproved labor organizations which had become genuinely representative, and were therefore considered politically dangerous.

Even though the worker-peasant system was apparently inspired by Mao Tse-tung and conforms to one of his ideological goals, it was briefly attacked, in late 1966-January 1967, by Maoist publications (including Shanghai's *Wen Hui Pao*) and reportedly by Chiang Ch'ing (Madame Mao). Liu Shao-ch'i ("China's Khrushchev") was held responsible for inequities and grievances arising from the system. However, during this same period Premier Chou En-lai is said to have indicated that "because of the circumstances in China" the system would have to be maintained.

Sufficient information is not available to relate the issues of temporary and contract workers to leadership debates or to changes in the course of the Cultural Revolution, or even to judge how important the issues were. The view expressed by Chou has apparently prevailed, and there have been no attacks in regime media on the various forms of the worker-peasant system since early 1967. Instead, it appears that Peking intends to persevere with

this system as well as with youth-to-the-frontier and other manpower programs, despite plentiful evidence that they are unpopular and have contributed importantly to labor factionalism and unrest.

I. Worker-Peasants: The Background

A. *Extension of the System—1964-65*

The worker-peasant system was first given prominence in 1962, but not introduced on a large scale until 1964. During that year, press reports told of the introduction of the system throughout the country, including in 600 mining and industrial units in Kiangsi[1], 60 cotton gins in Kiangsu[2], nine cotton gins in Hupeh[3], eight river ports in Shantung[4], in grain, oil, and cotton processing plants in the suburbs of Shanghai, and in various plants or *hsien* in Kwangsi, Kwangtung, Heilungkiang, Kansu, Hopei, Anhwei, Szechwan, Liaoning, and Inner Mongolia.

Early in 1965 a special *Ta Kung Pao* article placed the worker-peasant system on the same ideological plane with the half-work, half-study system as a means by which to eliminate the classic urban-rural, mental-manual, worker-farmer dichotomies. At the same time, the Ministry of Textile Industry convoked the first ministerial-level symposium on the use of peasant labor in industry. The *Ta Kung Pao* article acknowledged that difficulties might arise in introducing the system and cautioned that enterprises should adopt it only after making "proper" preparations.

On December 28, 1965 *People's Daily* front-paged three articles reporting on nation-wide trials of the worker-peasant system. The *People's Daily* articles said the system had been tried in more than 30 trades "dealing with mining, lumbering, building construction, building materials, light industry, posts and telecommunications, textiles, commerce, aquatic products, communications and transport, water conservation and power generation, geological survey, mechanical farming, drainage and irrigation, and processing of agricultural and sideline (sic) products."

People's Daily added that "the system has been universally enforced in sugar refineries all over the country," in trades dealing with the "processing of cotton and woolen piece goods in Shensi Province, the reeling of tussah silk in Liaoning Province, and the processing of meats and aquatic products in Hunan Province." *People's Daily* noted that in these trades production was seasonal.

The point was also made that most of the enterprises experimenting with the new labor system were located in county seats, townships, and the outskirts of large cities. In short, it was to be essentially a village and suburban program, thus affecting only segments of the working and peasant classes.

Enterprises were said to have experimented with more than 10 forms of "labor rotation." In mining, lumbering, building, geological survey, etc., all of which are non-seasonal, "a system of working on rotation is being enforced." Thus, laborers work full-time in these enterprises for a term of 3 to 7 years, then return to farming. On the other hand, factories engaged in seasonal production hire workers on a "temporary" or "contract" basis and return

them to farms during slack periods.[5] All, whether temporary, contract, or rotation workers, are "worker-peasants" if recruited in the countryside.

In Szechwan, the system was apparently far advanced, for more than 200 factories and mining enterprises were carrying out the experiment in 1965, *People's Daily* said. The paper pointed out that originally worker-peasants were employed only in metallurgical, coal mining, and lumbering operations there, but later the system was introduced into hydroelectric plants, light industry, chemical plants, capital construction, communications and transportation, machine building, water conservation, and the processing of farm and sideline (sic) products.

Kiangsi, too, seemed to be a major testing ground, for *People's Daily* reported in December, 1965 that the Anyuan Coal Mine, which employed 2,000 workers, would each year shift a group of miners back to farming after recruiting peasants to replace them. In 1965, the article said, 207 miners were transferred out and 203 peasants entered the mines. It was hoped that all miners would be worker-peasants within five years. Thus, by the beginning of 1968 more than one-half of the original mine force should have been transferred to communes, if the scheme has continued in force.

Part of the rationale for all this was evident in the fact that recruits for mine work in 1965 averaged 24 years of age; the dismissed miners were undoubtedly older, perhaps even approaching retirement age. The article said nothing about retirement benefits guaranteed to industrial workers, remarking vaguely that "the mine will pay workers going back to the villages sufficient production allowances according to state regulations and make arrangements with the people's communes for their work and livelihood."[6]

This suggests that the miners upon being sent to communes were given a small lump sum payment, presumably in lieu of the old age assistance they would have received had they stayed at the mines. Thus the cost of supporting aged industrial workers is transferred from the state to the communes.[7] By eliminating the permanent mining force, there will, theoretically, be no further increase in the number of mine pension claimants.

Probably the clearest description of the worker-peasant system, including contractual relations between communes and factories, methods of payment (including the amount the worker-peasant must remit to the production team) and the roles of contract, temporary and farm rotation workers, was contained in an article published in *New Construction (Hsin Chien-she)*, No. 1-2, Feb. 20, 1966.[8] This article revealed that trade and finance departments are the major employers of worker-peasant laborers, using them mainly in the processing of farm produce, secondarily in procurement, storage, loading, and transportation of commodities. (This may help account for the unusually large number of conferences of trade and finance workers held since early 1967.) A smaller group is assigned to collect taxes and to credit work in rural areas, the article said.

B. *Advantages Claimed for the System*

Basic to development of the worker-peasant system, the *New Construction*

article pointed out, was a shift in the locale of processing, sorting, and packing operations for some farm products, especially export commodities, away from marketing centers and ports and back to production teams in rural communes. Tentative statistics from 16 provinces and cities were said to show that in 1964-65 the processing and packing of export items (such as fruits and vegetables, melon seeds, hog bristles, and herbs) in rural or suburban areas (by production teams) rather than in the ports (by industrial workers) as had been the practice in the past, reduced expenses by 10 million *yuan*. Moreover, because of an improvement in quality of products and in a reduction in shipping losses (since the goods were boxed rather than shipped in bulk), the State had earned a larger than normal amount of foreign exchange; and the income of production teams and members had increased by 17.6 million *yuan*.

That this shift in processing patterns left some urban workers unemployed was indicated in a description of claimed advantages for the new system: "The worker-peasant system may promote migration of urban dwellers to mountain and rural areas and bring supply of commodity grain under control." In fact, the article cited the experiences of several small mills where permanent workers had been discharged and sent down to production brigades after the new system had been introduced. In 1965, in Hopei Province alone, the article said, there were 810 team centers, employing 27,400 worker-peasants, for processing export products. Presumably these people also displaced some permanent workers who had performed these operations elsewhere.

In regard to costs, *People's Daily* said that in the 1965-66 winter season, the nation's sugar refineries, "now fully under the new system, discharged more than 7,800 permanent workers." As a result, "the State has saved wages amounting to 2.5 million *yuan*." Moreover, *People's Daily* pointed out, laborers working under this system do not bring their families with them, thus reducing costs for food, housing, etc.

Production teams which provided labor to mines were said to have "generally increased their income." Some production teams in Szechwan reportedly "increased their income by more than 3 million *yuan* this year (1965)."

The *People's Daily* articles cited the Chengtu Storage and Transportation Corporation which, after having used the new system for one year, by December 1965 employed only 172 permanent workers (presumably the others were discharged or sent to communes) and had a contract with 15 communes to supply 800 peasants to load and discharge goods at the company's warehouses. "Because the commune members come when there is work, leave after having done their work, and ask for no food and living quarters from the corporation, it was possible to save for the State a sum of more than 270,000 *yuan* to be invested in the building of quarters and mess halls for permanent workers and in other livelihood and welfare schemes," *People's Daily* said.

The communes "having spared manpower to work for this corporation, various production teams near the warehouses can earn more income for the collective and solve the problem of the blind outflow of manpower owing to

insufficient farmland" — a rare admission of the pressure of population on land. One brigade, it was said, earned enough to repay its loans from the State and in addition had purchased "three oxen, nine carts, some chemical fertilizer and 3,000 *yuan* worth of tools."

The worker-peasant system also serves to transfer food burdens to the communes from the State. For example, in the Neichiang Administrative District in Szechwan, the articles said, more than 6,300 temporary workers were employed in agricultural processing plants in 1965. Because such workers do not transfer their dependents while working, but do bring "their essential food grain" with them, there is a reduction in the "non-productive expenses of the enterprises and (in the pressure on) the supply of commodity grain." In four mechanized sugar refineries in the district, the reclassification of 629 permanent workers as seasonal workers saved these refineries 108,000 *yuan* in wages and the State 132,000 catties of commodity grain in 1965, according to *People's Daily*.

In Kwangsi, some peasants working in the Lingli Sugar Refinery were said to have become electricians, plumbers, and crane and press operators, and to have utilized these skills on their return to the farms at the end of the sugar crushing season.

C. Early Resistance to the System

Officials in the Szechwan Agricultural Machine Works, producers of diesel engines, had been reluctant to employ rotation workers. However, in December 1964 the plant officials, at the insistence of the Provincial CCP (Chinese Communist Party) Committee, took on 100 such workers. Guided by older workers, the rotation laborers made satisfactory progress, *People's Daily* said. Nonetheless, one *People's Daily* article admitted, "there has not been smooth sailing in enforcing" the new system. There were "doubts and hindrances," stemming from the fact that some persons "thought too much about immediate interests but little about long-term interests." (This was to become a dominant theme in 1967.) "Some people held that the trial of this labor system was merely an expedient to solve the question of the insufficiency of labor" (sic) while "others, fearing the trouble that might arise, were reluctant to employ seasonal workers or temporary workers."

Faced with this type of foot dragging, the party leaders decided that in order "to enforce the new labor system... it would be necessary first of all to go through an ideological revolution, to put the thought of Mao Tse-tung persistently in command, to organize the broad masses of workers to study earnestly the instructions of the CCP Central Committee on the two labor systems and two educational systems, and to increase their ideological consciousness." Meanwhile, it would also be necessary to experiment further so that conditions might be established for extension of the system in the future, according to *People's Daily*.

D. Methods of Payment

The press has said little about methods of payment, other than to indicate that the worker-peasant would retain a portion of his salary for personal expenses and would deliver the rest

to his production team for year-end distribution of income. Two reports gave some details. During 1964, temporary workers in Shantung retained 50 to 80 percent of their salaries for their own use and submitted the remainder to their production teams.[9] In 1965, temporary workers in Kiangsu paid 15 percent of their salaries to production teams as "public accumulation fund and public welfare fund," retained a portion for daily necessities and as pocket money, then submitted the rest to the production teams for year-end distribution.[10]

II. The Cultural Revolution and the Worker-Peasant System

From February to August 1966, national and provincial publications were silent on the subject of the worker-peasant labor system. Then, on August 13, just after the CCP Central Committee plenum in Peking, Radio Canton reported that the Kwangtung Provincial Party Committee had issued a detailed set of instructions, based largely on the use of worker-peasants in industrial enterprises, on how to implement the August 1 Central Committee directive on turning the country into a "great school of the Thought of Mao Tse-tung."

The CCP plenum also produced a 16-point "decision," issued on August 8, which was, in effect, a charter for the conduct of the Cultural Revolution. That same day *People's Daily* devoted most of its front page to an attack on Sun Yeh-fang, an economist who had proposed that profitability be taken as a measure of industrial efficiency and who had recommended a rationalization of industry along conventional economic lines. The Kwangtung and Central-South Bureau authorities apparently saw nothing in the "decision" which contravened their instructions on the worker-peasant system. Nor did there seem to be any contrary guidelines in the "communique" of the 11th plenum in Peking, issued, like the Kwangtung instructions, on August 13. The atmosphere at the time the directive was issued was very much that of "politics in command," and the worker-peasant system seemed a pristine product of such an orientation.

The Kwangtung instructions directed that: (1) all enterprises "with suitable conditions" should introduce the worker-peasant system; (2) existing and future enterprises should, when feasible, employ worker-peasants, "and gradually turn a number of permanent workers into worker-peasants"; (3) some factories should be moved to rural areas, particularly canning factories and fruit and vegetable preserving plants; (4) commercial networks should hand over some foodstuff processing operations to communes, brigades, and teams; (5) basic-level finance and trade units should employ large number of temporary, contract, and seasonal workers; (6) state agricultural, forestry, and reclamation farms should introduce the system; (7) communes should each year send peasants to factories as temporary or rotation workers; (8) full-time schools should gradually be transformed into work-study, farm-study schools; (9) idle industrial labor forces should be organized and despatched to reclaim wasteland, and do farmwork and sideline (sic) production.

It should be noted, however, that the Kwangtung instructions said nothing

about past successes of the worker-peasant system in Kwangtung. They seem, in fact, to have reflected an effort to catch up on a program already more advanced elsewhere. In practice, the program probably was applied unevenly in the various provinces, resulting in a variety of responses.

Perhaps because the Kwangtung program was only a declaration of intent rather than a chronicle of experience, New China News Agency (NCNA) gave it no publicity. However, only two days earlier, NCNA had reported a much less ambitious worker-peasant undertaking, at the Changchun No. 1 Motor Vehicle Plant in Kirin. Ten workshops, NCNA reported, had been "linked with" three communes. Nearly 1,000 worker-peasants were said to have been "absorbed" into the plant's work force while retaining their status as commune members.

According to the Canton *Hung Wei Pao,* September 30, 1966, the method of "marrying" or "linking" factories with communes was also being practiced in Kwangsi, where early in the year an "old" mining company and a sugar refinery had "set up experimental points for combining a factory with a people's commune." Newly built enterprises and most of the farm tool factories in various administrative districts and *hsien* had also made experiments in combining a factory with a commune, the paper claimed. In all of these experimental situations, it was reported, production had been "remarkable" and, equally important, workers and peasants "raised their class consciousness."

Thus, throughout 1966 and even with the inception of the Cultural Revolution, there was no hint in the press that the worker-peasant concept was anything other than ideologically pure. There were, however, early indications of worker disaffection and resistance to the program, including the above-mentioned "marriage" scheme.

III. Labor Unrest Revealed: The Real January Revolution

Widespread labor unrest, much of it linked to temporary and contract worker problems, broke out in Shanghai in January, 1967. Not all of the sources of disaffection and the actions which triggered public demonstrations against the system have been revealed. But it appears that in the summer or fall of 1966 a group of "revolutionary workers" (i.e., Maoist activists) were fired in Shanghai and elsewhere, probably because some managers and administrators opposed their Cultural Revolution activities. At about the same time, some temporary and contract workers were also fired, possibly because they threatened the jobs of regular industrial workers. In December, the authorities in Peking authorized reinstatement of some discharged workers, payment of back wages, including in some instances, wage and fringe benefit increases. These actions seem subsequently to have instigated or contributed to (or simply became confused with) the outbreak of "economism" — the ready issuance of back pay, bonuses, special allowances, etc. To complicate the situation further, the press and Red Guard factions opened a short-lived attack on the worker-peasant system, only to discover that the use of such workers was in fact part of a major overhaul of the labor system throughout the country.

A. *"People's Daily" Authorizes Back Wage Payments*

The curtain was raised on a confused series of events on December 26, 1966 (Chairman Mao's birthday) when *People's Daily* announced editorially that the Cultural Revolution would be extended to the nation's farms and factories. More importantly, the editorial revealed that some workers had been discharged and pay withheld from others, as a result of unrest (and probably confused direction) in factories:

> "No leaders of industrial and mining enterprises should strike at and retaliate upon the workers who have put forth criticisms and disclosed facts, nor are they allowed to reduce the wages of these workers, to discharge these workers from their posts, and, for the same reason, to discharge contract workers and temporary workers.
>
> "Threatening and persecution of dependents of workers is also disallowed. Revolutionary workers who have been struck off and forced to leave their factories must be allowed to return to their factories to participate in production and in the Cultural Revolution. These revolutionary workers should be given any wages which had been held up when they were forced to leave the factory."

This instruction seemed to be a formula for protecting regime-sponsored "rebels," as well as temporary and contract workers who had attained their positions through implementation of the worker-peasant system. It clearly authorized payment of back wages, at least for a select group of workers, a subject which in succeeding days became entwined with "economism," a major and serious labor issue of still largely undetermined nature. It was also possible, however, to construe the editorial as a blanket reprieve for workers who had previously been exiled to rural areas under a variety of programs.

B. *Reports of Chiang Ch'ing's Intervention*

The *People's Daily* editorial of December 26 provided the first public hint of hitherto suppressed news of mounting worker unrest. The content and timing of the editorial are striking in view of the wave of resistance to the worker-peasant system which, it soon became apparent, had been sweeping the country. The importance of the editorial is also emphasized by reports that late in 1966 Chiang Ch'ing (Madame Mao) lent her support to aggrieved temporary and contract workers.

Several Canton posters, dated January 4, 1967, stated that Chiang Ch'ing, Ch'en Po-ta, K'ang Sheng, and others had received a delegation of temporary and contract workers on the evening of December 26, 1966 and that Chiang Ch'ing had denounced officials of the Ministry of Labor and of the All-China Federation of Trade Unions for permitting the worker-peasant system to exist. (Peking posters describing such a December 26 meeting and the alleged denunciation by Chiang Ch'ing — but not her attacks on the worker-peasant system — were widely quoted in the foreign press at the time.) The Canton posters said that Chiang Ch'ing had blamed Liu Shao-ch'i for instituting the temporary-contract worker system.[11] Despite this condemnation, Chiang Ch'ing allegedly ordered that temporary workers dismissed since June 1966 be reinstated and that back wages be paid to them. Such an action would have been in agreement with the policy set forth in *People's Daily's* December 26 editorial.

Similar reports came from Shanghai where, it was reported, unemployment had increased markedly since the onset of the Cultural Revolution, mostly because of an influx of peasants from Anhwei and because vast numbers of temporary workers had been discharged from factory jobs as a result of general industrial disorganization. One Shanghai version of events also said a delegation of temporary workers had called on Chiang Ch'ing in Peking in December, 1966, but added that she in turn had informed Chairman Mao of the workers' plight. Mao is alleged to have denied knowledge of the existence of temporary and contract worker systems and to have termed them a disgrace. When the workers returned to Shanghai and reported Mao's words, it was decided (by whom it is unclear) to compensate all dismissed workers, even those discharged "a long time ago," by paying them full wages for the period of the dismissal. Vast sums were paid to these unemployed workers, who thereupon made a rush to buy goods in the city's shops. In March 1967 it was decided to discontinue such payments and to recover sums already paid out, but by that time most of the money had already been spent.

In fact, in January 1967 many posters in Shanghai described Chiang Ch'ing's reception of the temporary workers. However, these posters were quickly followed by other Red Guard posters which alleged that in a second and later meeting of these workers with Chou En-lai, the Premier said that "because of the circumstances in China," the temporary and contract worker systems would have to be maintained.

Whatever the validity of these reports, the story of Chiang Ch'ing's intervention seems to have been widely believed.

C. *Other Attacks on the System*[12]

In Shanghai, at least one poster writer declared openly that the entire labor system was being overhauled. "There has been a plot to transform the fixed ('permanent') labor system into a temporary, seasonal, contract labor system with consequent insecurity for the workers," a poster said in February 1967. "Liu Shao-ch'i has been assisted in this plot by the Ministry of Labor." According to the poster, the "plot" involved:

(1) a halt in hiring of permanent workers, beginning in 1967, with temporary and contract work systems to gradually become universal;

(2) the hiring of demobilized soldiers only on a contract basis; and

(3) a change from use of permanent workers to use of half-study, half-work students in service industries and retail shops.

Unexpectedly, but possibly because of Chiang Ch'ing's reported intervention, the Shanghai Maoists themselves on January 6, 1967 opened a short-lived attack on the temporary and contract labor system (but without employing the term "worker-peasants"). With Shanghai and other cities already in the grip of major rail and harbor strikes (which had still not been reported in the press), the Shanghai *Wen Hui Pao*

on January 6 reported that on the preceding day more than 100,000 temporary and contract workers had assembled at the People's Square to demand that the Party "thoroughly abolish the irrational system of temporary labor and outside-contract labor and establish a brand-new labor system in conformity with Mao Tse-tung's thought."

These work relationships "are remnants of the capitalist system of employed labor," *Wen Hui Pao* said. These workers had not been allowed to join political study classes in their factories or take part in other political activities, the Shanghai paper continued, "nor could they get the labor protection they deserved." Moreover, when temporary and contract workers complained, the power-holders "even kept back part of their wages and suspended their work."

On January 9, 1967, Shanghai "rebel organizations" issued an "urgent notice" which was, in effect, an attempt to impose summary discipline on the restive ranks of industrial labor. The notice directed that all funds be frozen "apart from essential expenditure for production, wages, the Cultural Revolution, office administration, and other appropriate purposes," but it also promised that "matters related to the readjustment of wages, payment of back wages and material benefits, shall in principle be dealt with at a later stage of the movement."

However, the full import of these steps was not immediately clear even to Maoist "rebels," for on January 10, 1967, the *Capital Red Guards Newspaper* printed three head-on attacks on the use of temporary and contract workers. Worker-peasants were said in one article to have "destroyed the reactionary bourgeois line of Liu and Teng and their system of contract and temporary work which harmed the workers." The system was described as an attempt to "raise the greatest amount of cheap labor and to extract the maximum profits."

In Shensi, a second article said, "over 95 percent of the workers in our construction brigade in the Sian Metallurgical and Electrical Industry are temporary and contract workers and we have suffered just as bitterly as our comrades under the old society." Workers in Sian had demanded abolition of the temporary and contract work system at the commencement of the Cultural Revolution, the article stated. Provincial party leaders reportedly responded that the system was laid down by the CCP Central Committee, "but we exposed this by saying that it was laid down by the revisionist Liu Shao-ch'i." When the workers in Sian "heard Chiang Ch'ing speak on December 26, we were all pleased and determined to carry out the Cultural Revolution to the end," the article concluded.

A third article, signed by members of 83 contract worker groups in textile factories in Hunan, complained that employment of peasant labor is "the cheapest system in that the average wages of the contract workers are far below the average wages of the normal factory workers."

A set of emergency instructions on wages and the labor system was issued by Premier Chou En-lai and Liu Ning-yi, Chairman of the ACFTU, on January 13, 1967, according to Japanese press reports based on Peking posters. These instructions were said to direct:

(1) since wage increases for temporary and contract workers would generate resistance among peasants, the systems should be "disposed of" according to a letter (whose contents were not revealed) from Chairman Mao to Lin Piao;

(2) the apprentice system should be changed to the half-work, half-study system (but not for the present);

(3) personnel discharged earlier must not be reinstated arbitrarily; the Ministry of Labor will provide personnel according to production needs;

(4) as the Central Committee has not authorized any changes in the wage system or in wage grades, no changes should be made; and

(5) wage supplements may be paid with approval of higher authority.

D. The Mood Changes

People's Daily on January 15, 1967 printed a curious article in which sympathy with the grievances of temporary and contract workers was obviously missing. Construction workers from Liaoning Province had arrived in Peking to attend a "National Meeting to Criticize and Expose the Temporary Work and Contract Work System," the paper said. The whole thing turned out to be a hoax, *People's Daily* claimed, pointing out that "bad eggs" in the Liaoning Department of Labor had notified *hsien* labor sections where contract and temporary workers were employed to send delegates to the Peking meeting.

The next day, *People's Daily* attacked on a wider front, speaking with contempt of the benefits which Chinese labor legislation guarantees to permanent industrial workers and which were sought by worker-peasants.

> "The handful suddenly show concern for labor insurance and the well-being of the masses of workers and talk about their promotion, subsidy, housing, etc. They vigorously use material incentives to corrupt the fighting spirit of the revolutionary masses. They incite some people to make trouble by demanding economic welfare...
>
> "We should educate the comrades of trade unions and the working masses, so that they understand that they should never see the immediate, one-sided welfare benefits exclusively and forget the far-reaching interests of the working classes."

Shanghai's *Wen Hui Pao,* however, continued to criticize the system, accusing the authorities of "permitting peasants to work in areas other than farming" (January 21, 1967). But NCNA, following the *People's Daily* line, said on January 29 that the opposition had urged peasants near Shanghai to demand medical benefits, labor insurance, conversion of the commune into a state farm, monthly wage payments, and other benefits available to industrial workers, i.e., reduction of the difference between industrial and farm workers.

E. Pay Raises Condemned

Sympathy for the plight of the worker-peasants was expressed by *Kwangming Daily* in an article of January 23, 1967 which nonetheless condemned

pay raises for them. "Reactionaries" had sought to reinstitute and "even intensify some of the irrational measures concerning wage increases and welfare systems in a futile attempt to shift the general orientation of struggle," the paper charged. Although it confirmed that payments for wages in arrears had been made to temporary and contract workers and to apprentices, *Kwangming Daily* held that it was the "reactionaries" who had attacked the worker-peasant concept with the cry of "Oppose Irrational Systems." In fact, it will be recalled that Shanghai's *Wen Hui Pao* had taken just such a position only 13 days earlier.

A Radio Peking broadcast of January 24, however, seemed to defend the granting of pay increases to worker-peasants, while opposing increases for other workers. This broadcast said that in Shanghai "bourgeois overseers used the increase in income of workers who work in other localities and of part-time worker-peasants as a screen to create contradictions among the masses." This statement suggests that the majority of permanent industrial workers had opposed pay boosts or special allowances granted (with Peking's approval, the language implies) to a minority, including worker-peasants.

There is thus no doubt that certain pay increases, supplements or fringe benefits — not necessarily limited to grievances over the worker-peasant system — were authorized, probably in December 1966 or early January 1967, only to be summarily withdrawn.

Similar descriptions have been offered of the events surrounding the decisions first to pay, then to renege on wages in arrears owed to workers. At least in Harbin and Shanghai there are indications that CCP Central Committee documents on the payment of wages fell into the hands of transport workers who were criticizing "power holders." Workers in both cities reportedly discovered that city administrations, factories, and other enterprises, in defiance of Central Committee instructions, had been paying less than the authorized wage rates (the purpose presumably being to accumulate additional funds for re-investment). They reportedly demanded and received payment of the difference between the authorized and actual levels of wages, retroactive for three years. Transport workers in Harbin reportedly received about 1,000 *yuan* each in back wages, whereupon workers in other trades demanded and received similar payments.

Toward the end of January, 1967, according to the Harbin version of events, when the demands had clearly got out of hand, the Central Committee issued a directive to the effect that:

(1) no further payments for back wages would be made;

(2) workers must repay sums already disbursed, either in a lump sum or by deductions from wages; and

(3) there would be no changes in wage rates in the near future.

The reference here, it would seem, is to the instructions carried in a joint *People's Daily-Red Flag* editorial (NCNA, January 11, 1967) on opposing "economism." In Shanghai at this time, it was reported, "someone" quickly

formed a faction to oppose payment of back wages. Special teams visited workers who failed to return the money, and there have been reports that workers who received several thousand *yuan* in back pay offered, tongue-in-cheek, to repay 2 *yuan* per month by means of payroll deduction. There were apparently many reasons for joining the "restitution faction," among them: sincerity, fear, and hope of gaining a place in a forthcoming power structure. Temporary and contract workers did not collect back wage payments.

The assertion that payment of back wages was one of the major issues of the "January Revolution" is amply buttressed by mainland press reports. For example, in January 1967 many press articles lauded workers, including apprentices, who allegedly volunteered to refund money said to have been paid in the form of "wages in arrears, welfare benefits, (and) funds for establishing revolutionary ties..." The most extreme of reports regarding back wages is to be found in *China Reconstructs* (April, 1967) in an assertion by a worker that in January "the Party Vice Secretary of the Communications Bureau suddenly proposed that we should be given an increase in pay retroactive to 1956."

It is possible, of course, that demands for payment of back wages stemmed from reductions in wages or bonuses imposed during 1966. Indeed there are instances of pay cuts which were enforced under pressure from Red Guards which, in some instances, were later restored by order of authorities in Peking. In general, though, the evidence does not suggest that there was an overall attempt to directly depress the level of wages in that year. The situation with respect to bonuses was different. Numerous reports suggest that there was a fairly widespread abolition of bonus incentives in industrial enterprises.

Throughout much of January 1967, then, the press (particularly in Shanghai), Red Guard newspapers, and mass organizations launched attacks on the worker-peasant system. Although this posture was changing and would soon be definitely altered, it was clear that the authorities had for some time been carrying out a major overhaul of the wage and labor systems and that these changes had generated widespread, popular opposition.

Opposition to changes in the wage and labor systems came from both permanent and temporary workers. Permanent workers feared transfer to rural areas with a resulting loss of income and benefits. Temporary workers resented discriminatory treatment on matters of wages and welfare benefits and sought to become permanent workers. Although the Maoists quickly contained these protests and sought to keep the "January Revolution" on a Maoist political course, there were in the events of January strong elements of labor discontent and agitation.

IV. The February Repression

Many of the men who flocked to Shanghai from rural areas in January 1967 were former industrial workers despatched to the countryside (probably after being displaced by temporary workers) or were workers in processing plants which had been dispersed to rural areas. Some were discharged veterans of the PLA. Almost all sought reinstatement in, or assignment to,

industrial jobs in the cities. These men, as well as temporary and contract workers, formed organizations to protect their own interests, a development eventually opposed by Maoists in Peking, who authorized police and military forces to break up their maverick organizations and to persuade them to return to the countryside.

A. *Return to Shanghai Authorized*

Some workers returned to Shanghai in response to official orders which were later disowned. For example, officials in the discredited CCP Shanghai Municipal Committee, according to *People's Daily* of January 31, 1967 "directed those in authority at all levels to print for distribution large numbers of so-called 'certificates of reinstatement' to lure large numbers of workers who had gone to the countryside to support agriculture into rushing back to Shanghai for reinstatement."

The *People's Daily* editorial of December 26, 1966 referred to earlier, seemed to authorize action similar to that authorized in Shanghai, at least for "rebels." By contrast, *People's Daily* now directed that those who had returned to Shanghai, "including those who have been reinstated," should go back to the countryside. The January 31 article implicitly acknowledged, however, that those who had returned had genuine grievances, adding that "we are deeply convinced that the question of finding work for workers who have gone to the countryside... can be solved gradually according to the directives of the Central Committee." This gradual solution would also apply, *People's Daily* said, to workers who had gone to other places (such as Sinkiang) to aid construction; educated youths who had gone to the countryside, mountainous areas, or to other places in support of agriculture; and medical and other workers who had gone to settle down in rural areas.

B. *Resistance to Orders to Leave Cities*

Press reports during February revealed that workers continued to resist efforts to discharge them, mostly, presumably, from jobs they had taken up after returning to the cities. These same reports indicated that workers sought to avoid assignment to plants dispersed from major cities to rural areas.

According to Shanghai's *Wen Hui Pao* on February 12, "reactionaries" raised slogans such as "reverse the injustice of moving to the interior" and "problems cannot be solved locally; they must be solved by your (workers and educated youths) going to Shanghai or Peking." This movement into the cities, the Shanghai paper said, had "led to the suspension of (work in) many factories for a comparatively long time. For instance, the return to Shanghai of nearly 700 workers of a certain Shanghai factory which had moved to the interior has caused the State to lose 300,000 *yuan* in terms of output value per day." In a surprisingly frank admission, the article said that "it is true that there are mistakes and shortcomings in the work of moving to the interior, and they should be exposed and criticized." Nonetheless, class enemies who had urged workers to return to Shanghai were only pretending to criticize these mistakes, *Wen Hui Pao* stated, adding that they were manipulating the workers in an attempt to sabotage the revolution.

C. Worker-Peasant Organizations Outlawed

Peking moved quickly to overcome the opposition of rebellious workers. On February 17, the CCP Central Committee and the State Council issued a "Notice on Questions of Temporary Workers, Contract Workers, Rotation Workers, and External Workers."[13] According to *Wen Hui Pao,* the Notice pointed out that "temporary workers, contract workers, rotation workers, and external piece-workers should enjoy political rights (underlining added) equal to those of regular workers and functionaries and should have the right to take part in the Cultural Revolution." The overwhelming majority of these workers "are revolutionary, love the Party and Chairman Mao, and surely are able to give importance to the interests of the working class, to proceed from the needs of the whole..." Power-holders must not "carry out class reprisal against" these workers, the Shanghai paper warned, and "must not lead them astray by means of illegal activities."

The Notice then made its major point, saying that there was no need for these workers to set up separate organizations. The special pleading of early January was clearly coming to an end. Interestingly, there was no suggestion that temporary and contract workers be granted economic rights equal to those of permanent workers.

On February 19, two days after the Notice was issued, but more than a week before it was cited in *Wen Hui Pao,* that paper dwelt on the theme of failures in dispersal of factories to rural areas, admitting that "it is true that conditions in some factories and enterprises in the interior and frontier regions are rather special. They have not yet officially started operation for some reason or other, or they have other kinds of difficulty. But even the workers of these units should return and carry out revolution there."[14]

In this article *Wen Hui Pao* also directed that workers from the interior who had returned to jobs they had held earlier in Shanghai should be dismissed. "The original units without exception must refrain from arranging jobs for workers who have returned from the interior and frontier regions on their own," the paper said. "Where jobs have already been arranged, they (the workers) should still be actively mobilized and helped to return to the interior and frontier regions. No unit may keep them." The errant workers and their dependents who had returned to Shanghai with them were ordered to leave the city immediately.

As a sop to these men, the article said that if workers had genuine complaints "against the power-holders in their original areas or units, they can expose and criticize them by writing letters or by sending big-character posters. When quite necessary, they may send a few representatives back to the original units to take part in the movement. They must not leave their work posts in groups."

Authorities in Shanghai moved quickly to tighten controls over the recently outlawed mass organizations. For example, Radio Shanghai reported on February 27 that agents of the Shanghai Municipal Revolutionary Committee "today took over the property and funds of organizations of contract

and temporary workers and liaison centers of young intellectuals working in rural areas, of youths working in support of the frontiers, and of state farm workers." The same day Shanghai's *Wen Hui Pao* complained that the "Shanghai Mansion Incident" had not been resolved and warned that "serious consequences" might follow.[15] On February 26, Radio Shanghai reported that two days earlier members of the "Support Agriculture Division," in the Mansion, assaulted a 28-man team sent to eject them. They posted pickets around the building, beat policemen, detained students, and summoned men who had returned from Kiangsu, Anhwei, and two other provinces to help them, the broadcast said.

Finally, explicit instructions were issued for a clamp-down on mass organizations fostering the interests of returned youths and temporary and contract workers.[16] "Beginning this day," the instruction said, "the Shanghai Municipal Revolutionary Committee's Anti-Economism Liaison Headquarters and Financial Supervision and Liquidation Team" would "liquidate all the property and funds of organizations of temporary workers, contract workers, rotation workers, and external piece-workers, and the liaison stations of educated youths who had gone to rural areas or mountainous areas, youths supporting the frontier regions, and farm workers."

As authority for this instruction, *Wen Hui Pao* cited both the CCP Central Committee's Notice of February 17, which said that there was no need for temporary and contract workers to set up separate organizations, and a Central Committee and State Council order that educated youths must return to their posts.

The change in attitude dashed whatever hopes remained, such as those expressed in a Shanghai poster of February, that older workers, exiled to the countryside, would be permitted to return to the city. "We are old workers (between 50 and 80 years) illegally sent to the countryside," the poster said. "If we have to leave Shanghai, where we lived for 20 or 30 years, and go back to the villages where we have been for only four or five years, this is like gathering the sesame seeds but losing the melon."

V. Other Sources of Labor Disaffection

The worker-peasant program has not been implemented in isolation. Concurrently, a number of other programs were inaugurated or intensified in 1964 that probably also contributed to dissension among both laborers and peasants: the work-study schools,[17] Poor and Lower-Middle Peasants' Associations, political offices (largely staffed by demobilized PLA cadres) in industry, and the Socialist Education—Four Clearances Campaign.

In retrospect, these and other related measures (such as the decentralization of industry to rural areas) appear to have been part of a coordinated plan to establish controls under which it would be possible to deal with the nation's growing economic problems. The most important of these problems were:

(1) the pressure of population on farm and industrial jobs;

(2) the burgeoning ranks of high school and college graduates for whom employment could not be found;

(3) the increasingly large annual bill for pension and other welfare benefits; and

(4) the fact that state revenues were largely dependent on profits from inefficiently operated enterprises.

There is every reason to believe that large numbers of the Chinese working class harbor deep and abiding grievances against the regime. Similar feelings were, and presumably still are, nursed by the vast army of the unemployed, many industrial apprentices, and youths caught up in the youth-to-the-frontier programs.

A. *The Unemployed*

Little is known of the numbers of the unregistered and hence illegal residents of the cities, most of whom are odd-job men and some of whom live on remittances from abroad. However, there are indications that these people were under heavy Red Guard and police pressure to return to their native villages in the period June 1966-January 1967. Similarly, there are no accurate statistics on the unemployed (or underemployed) in cities or on the farms. But press interviews suggest that the most common complaint of the hundreds of Cantonese, mostly farmers, who flee to Hong Kong from China each year, is the inability to find work and the endless struggle to make ends meet.

It has been estimated that it is customary in Canton for junior and senior middle school graduates to remain unemployed for periods ranging from three to five years. According to this estimate, about one-half of the junior middle school graduates find places in senior middle schools each year, while one-third of the senior middle school graduates enter universities. Of the remaining junior and senior middle school graduates (more than one-half of the secondary school population), only a handful can find jobs. About one-fourth of these idle youths are sent to rural areas, it is said, while one-half remain unemployed in the city. Because of working conditions, many of those sent to the farms subsequently return to Canton, it is said.

Another report indicated that in mid-1967 400,000 persons were unemployed in the city of Shanghai alone, and the government was said to be sending thousands of the jobless to frontier areas.

B. *Youth-to-the-Countryside*[18]

Unemployed youths, many of whom had been sent to the countryside, have proved politically troublesome since early in 1967. On February 9, Shanghai's *Wen Hui Pao* printed a "Highest Directive" which blamed "the handful" for the fact that youths (and exiled workers) were fleeing the countryside to seek jobs in the cities. The article said that since Liberation "several million" youths, in response to Chairman Mao's appeal, had rushed to rural, mountainous, and frontier regions, and alleged that "we revolutionary youths have the ambition of offering... to work

on the agricultural front for the rest of our lives."

For youths who succeeded in reaching the cities, "the handful" allegedly "made arrangements for jobs at will and changed at will their relationship with the units to which they belonged (presumably in rural areas)." Apparently documents were signed, for the article declared that "signatures within this category of things (job assignments) are null and void with effect from this day."

Some of the youths who flocked into the cities from rural areas early in 1967 did so because, having completed their three-year tours, they believed themselves eligible to return home. It has been reported that Chao Tzu-yang, erstwhile First Party Secretary of Kwangtung Province, was publicly and officially criticized for having made such a promise.

It appears that in 1964 Canton youths, like hundreds of other junior and senior middle school graduates throughout China, were recruited by local Street Committees to go to communes for specific periods of time. In 1965, the policy was reportedly changed to one of permanent transfer to the countryside. In general, the city youths made poor farmers; and the peasants, having only a limited amount of land, resented the necessity of feeding unproductive mouths. Early in 1967 many youths fled from the countryside into Canton, and some formed a Red Guard organization whose purpose was to overthrow the power-holders in the Street Committee offices. In May, several thousands held an accusation rally to demand reinstatement of the policy of rotating youths back to the city after three years on the farms. This demand was rejected, not only by the Canton press which demanded that these youths return to the farms, but by other factions of Red Guards who had not yet served in the countryside. Such disputes probably contributed to the fights which frequently paralyzed normal life in Canton during 1967.

In Shanghai, too, many persons believed that assignments to Sinkiang were to be temporary, and in January 1967 the authorities appeared to have caved in under public pressure on this matter. The Maoists, however, quickly reversed the position. The Shanghai "handful", the *Wen Hui Pao* said, "went so far as to agree to the unreasonable demand for demobilization in 3-5 years presented by some of the befuddled parents of the youths supporting construction in Sinkiang."[19]

More recently, Red Guard tabloids describing the youth-to-the-countryside program in Hupeh tried to shift to Liu Shao-ch'i responsibility for this program which has been pushed steadily by the Maoists since the "January Revolution." These reports drew a distinction between Chairman Mao's proposal that all intellectuals should volunteer to go to the countryside and "should go there happily," and a policy attributed to Liu of using the rural areas as a dumping ground for youths for whom neither jobs nor places at a higher level of schooling could be found.[20]

The regime's only response to these grievances (i.e., lack of school and job opportunities) has been to exhort the youths to return to the countryside. Thus in Hupeh, *Hupeh Daily,* in an

editorial broadcast by Radio Wuhan on November 21, 1967, praised youths going to hilly and rural areas, repeating the formula, first heard in January 1967 in Shanghai that "it is a revolutionary action for young intellectuals and other personnel (presumably displaced industrial workers) to return to the rural areas and make revolution there." In Shanghai *Wen Hui Pao* as late as March 2, 1968 found it necessary to plead editorially that youths should "return to Sinkiang and do battle there."

C. Apprentice Workers

Industrial apprentices have also proved to be a source of discontent. Although the nature of their grievances is not clear, the existence of them is obvious.

In January and February 1967 press reports alluded to walkouts and other protests by apprentice workers, always placing the blame on reactionaries. For example, *People's Daily* on January 18, 1967 described the successful seizure of the Peking No. 2 Machine Plant early in 1967, in the wake of labor problems which erupted in December 1966 when "reactionaries" allegedly told apprentices that if they were not promoted by the end of the year "the money would be returned to a higher level." (The implication is that money had been budgeted for promotions and would be lost if not used.) "They encouraged the apprentices to demand promotion and more wages. They also pretended to show concern for workers, saying that 'the apprenticeship system is irrational and should be smashed, but this is an important business and it will be necessary to get apprentices of the whole country united before they can smash this system...' They encouraged apprentices to leave their plants and go to other places to exchange experiences..."

In Kiangsi, Radio Nanchang (February 8, 1967) admitted by implication that apprentice workers had been promoted irregularly, and then demoted. "Approvals granted to apprentices during the Great Cultural Revolution as being qualified ahead of time are invalid," the report said, adding that "no more subsidies will be granted to revolutionary teachers and students... for laboring in factories."

Apprentices, usually in their late teens or early twenties, normally serve a three-year term, receiving a monthly salary of 18-24 *yuan,* plus certain food and other allowances. On completion of their terms the youths can expect promotion to grade 1 worker status and a pay increase, sometimes of 100 percent or more per month. It is possible that late in 1966 the authorities decided to postpone promotion of apprentices simply for budgetary reasons.

An article in *Red Flag,* No. 2 (January 16, 1967), said to have been written by apprentices in a Shanghai steel mill, alleged that "bad elements... issued each of us apprentices a large amount of money — 250 *yuan* — and paid us three months' wages in advance, and allowed us to go to other cities to establish revolutionary ties..."

Compulsory transfer to rural areas may have been another factor in the outbreak of trouble among apprentices. There is reason to believe that one main objective of the apprentice program is to provide trained manpower for fac-

tories in rural areas. However, it is said, some senior workers have been reluctant to train apprentices because they feared they themselves might be transferred to the countryside after being replaced by the newly qualified apprentices they had just trained.

During the "January Revolution" apprentices in Canton reportedly seized on labor unrest to voice long pent-up grievances. (Most apprentices are said to be junior middle school graduates, at best, and the tasks to which they are assigned are generally quite simple.) It appears that after five or six months apprentices sometimes perform their jobs better and faster than the "master workers" assigned to teach them, yet earn less than one-half as much money and must in fact wait another 30 months to reach the lowest rung on the permanent worker pay ladder. For this reason they reportedly demanded a reduction in the period of apprenticeship.

VI. Conclusions

It seems clear that the worker-peasant system has neither economic nor political appeal to those upon whose labor its success depends. The advantages claimed for the system, from the point of view of the State, are precisely the factors which have generated popular resistance to it: a reduction in the level of wage and welfare benefit costs, the transfer of permanent workers to the countryside, and the transfer of food burdens from the State to the communes.

A. *Population and Employment Pressures*

Po I-po, Vice-Premier and concurrently Chairman of the State Economic Commission and Vice-Chairman of the State Planning Commission, was quoted by Anna Louise Strong in December 1963 as saying that China's urban population should be reduced by 20 million persons to a total of 110 million.[21] Some of the motivating economic factors for such a policy are urban unemployment, the enormous cost and effort involved in transporting food to feed the cities, the slow pace of industrial and agricultural development, and the desire to reduce costs (i.e., consumption) in order to be able to channel more money into investment.

Programs such as the worker-peasant system, the youth-to-the-countryside movement, and decentralization of industry at best seem to be palliatives. More fundamental is the need to increase investment, growth, and jobs to absorb the increasingly large number of new entrants to the work force. Faced with a shortage of available capital and apparently committed to a policy which precludes foreign aid, the temptation to "cut costs" must be very great.

The requirement that industrial production costs be pruned was made clear, for example, in an article published late in 1965 by unnamed writers in the Peking Municipal Bureau of Light Industry. "Compared with the advanced areas (Shanghai)," the article said with uncharacteristic candor, "we (Peking factories) are right now prominent in that we need too much manpower; our efficiency is low; our consumption is great; our costs are high; and our profit is small."

In addition to the problem of reducing production costs in industry,

the regime is faced with an ever-increasing demand for more money to meet its welfare promises. Several million industrial workers probably are, or soon will be, eligible for retirement pensions.[22] Similarly, the lists of veterans of the PLA, and of people who have retired from the Civil Service, have increased and no doubt place heavy burdens on the Chinese budget. Widespread adoption of the worker-peasant system could retard the increase in industrial, and even governmental, pension rolls.

B. *Strains in Implementing the System*

The introduction of the worker-peasant system, probably involving at least several million men, obviously generated a sense of insecurity among a large segment of China's industrial workers. The prospect of reduced wages or of relinquishing a pension in old age in favor of an uncertain future in some unfamiliar commune or mountain reclamation station is, in fact, one well calculated to provoke workers to dig in, to resist change, to fight to protect their places if necessary.

As noted earlier, the rotation system is known to have been introduced in mines in Kiangsi and Szechwan as early as 1964, and the evidence suggests that it has been extended widely in other provinces since then. In many areas, therefore, it seems probable that one-half to two-thirds of the original mining forces have been replaced by worker-peasants. It has doubtlessly become apparent to the remaining miners that their own transfer to rural communes is only a matter of time. In fact, in mines where the labor term is five years, the original worker-peasants will themselves be due for replacement this year or next. Obviously, few workers will ever become eligible for pensions.

Coal production in 1967 dropped below 1966 levels, with the result that shortages have been reported from many parts of China. These shortages are probably attributable in large part to the change in the labor system in the mines — a problem of morale and labor discipline. In addition, the level of work skills in the mines has undoubtedly been sharply lowered.

The intensity of popular resistance to imposition of the worker-peasant system (and the susceptibility of workers to incitement by "the handful") seems to have surprised the Maoists, and it is probably for this reason that since the middle of 1967 there have been sporadic (and cynical) efforts to transfer the onus for the existence of this and other unpopular labor programs to "the handful." For example, Radio Chengtu said in a broadcast on October 22, 1967 that in 1964 Li Ching-ch'üan "proposed that a compulsory labor service system be introduced, laying down that labor service should be done in rotation for five to seven years." In justification of this position, Li is alleged to have said that "by adopting the worker-peasant and work-study methods, labor productivity can be greatly increased and production costs greatly reduced."

However, despite this effort to shift the blame from the Maoists to "the handful," there has been no indication that the policies themselves will be reversed. For example, Radio Wuhan reported on September 13, 1967 that 1,600 worker-peasant personnel were employed in cotton procurement centers in Hupeh and that 10,240 such personnel

were sorting and ginning cotton. Moreover, aside from the aberrant burst of criticism in January 1967, there has been no sustained condemnation of the system by the Maoists even though extensive, detailed catalogs of economic "crimes" attributed to Liu Shao-ch'i, T'ao Chu, and others have been matters of common currency. The absence of criticism of the worker-peasant system by Peking demonstrates that the concept remains a national policy which is approved by Mao Tse-tung.

C. *The Persistence of Labor Problems*

The workers' demands of January 1967 were still being voiced in December, when press reports from Szechwan and Shanghai specifically named contract and temporary workers as being involved in new outbreaks of labor unrest. Peking, naturally, alleged that political renegades had again duped workers into voicing wage and other demands, and in some instances this may have been true.

In any event, there is considerable evidence of deep, persisting resentment and dissatisfaction with the regime's policies among large segments of the working force. Hinting that strikes had taken place over questions of wages and changes in the labor system, Radio Chengtu on December 10, 1967 demanded that temporary workers, contract workers, labor rotation workers and others return to their own units. A few days later Shanghai's *Liberation Daily* said in an editorial that "some persons are once again demanding greater benefits and higher wages." The editorial charged that leaders of mass organizations disbanded in February 1967 had "mobilized a number of temporary workers and some hired hands (i.e., contract workers) in order to organize the ranks again."[23]

It is entirely possible that the worker of today is far different from the worker of 1966. Apparently leaderless and unorganized in the fall of 1966, the workers in late 1967 seemed to reflect the results of a year's experience with the power of group resistance. This experience may have prompted them to seek to redeem now the pledge of January 1967 that labor and wage questions would be reviewed at a later stage of the movement. The regime's own claims of "victory" in the Cultural Revolution may even have provided the rationale for such a movement.

In fact, only a few days after the first anniversary of the promise, Radio Hofei, in a broadcast on January 16, 1968, reiterated that wage and labor systems would be reviewed and revised by Peking at a later stage of the Cultural Revolution. The station broadcast a long report by the Preparatory Committee of the Hofei Workers' Congress which probably sets forth the regime's current policy on labor questions. According to the report,

(1) wage and welfare systems are "complicated, have defects, and need to be revised";

(2) "the systems of giving incentive cash awards, paying extra wages, and issuing subsidies, which have been abolished (in accordance with) the Central authorities' instructions, must not be resumed or revised... nor paid retroactively";

(3) "the current labor system is partly erroneous";

(4) "temporary workers cannot change their status to that of permanent ones";

(5) "workers on a contractual basis should be hired according to... regulation(s)...", "contract workers should be given the same privileges politically (underlining added) without discrimination as regular workers ..."; and

(6) "in line with the directives of the Central authorities, the status of workers who engage in both agriculture and industrial production (i.e., worker-peasants) remains unchanged for the time being..."

More recently, a Red Guard tabloid in Canton carried the text of an alleged CCP Central Committee "Notice" which covers approximately the same points, in regard to labor, as those cited in the Hofei broadcast, but also deals with other aspects of "economism." The "Notice" has the ring of authenticity, although it has not been released officially.[24]

D. *The Role of the Unions*

The threat to permanent workers from the increased use of temporary and contract workers has varied according to area and type of work. Skilled workers in cities are probably in little danger of being replaced, although many of them have probably lost bonuses. Unskilled workers in cities are more likely to have been replaced, since peasant labor is most suitable in coolie form, e.g., as stevedores in ports, freight handlers in factories and railway depots, and in other unskilled or semi-skilled work. Of course, skilled workers in food processing operations transferred from larger cities to rural areas might be unemployed or have been sent to the rural areas. In mining, lumbering, and similar types of operations in rural or suburban areas, where it is intended that the labor rotation system be introduced, the threat to permanent workers is presumably a total one.

It is clear that the introduction of the peasant-worker system created the conditions for divisiveness and conflicts in labor ranks. Where the system was widely implemented, permanent and temporary workers may well have split into two competing factions. In plants where skilled and semi-skilled workers were retained, while roustabouts and unskilled workers were threatened with replacement, three or more factions may well have emerged. Splits may also have developed within the ranks of temporary worker groups — between those willing to accept their lot and those demanding equal pay and benefits for equal work. (As early as January 1967, some temporary workers became, or hoped to become, permanent workers.)

Members of rural communes doubtlessly have protested against the burdens of providing food for temporary workers employed outside the communes while at the same time supporting aged workers who have been transferred to communes from mines and other enterprises. Friction has probably also developed between temporary workers and other commune members over the amount of money submitted to the commune by the

temporary worker and his portion of the commune's share-out.

In the past, trade unions have been responsible for the administration of labor insurance funds and have played a role in providing housing, medical care and other welfare benefits to workers. It probably was not accidental that major clashes took place last summer in front of labor union buildings in Canton and Swatow.

The status of the Chinese labor unions, headed by the All-China Federation of Trade Unions is, in fact, one of the anomalies of the Cultural Revolution. Nominally the guardians of the interests of proper proletarians, the unions appear to have been shunted totally aside. Refugees from Canton and Shanghai have confirmed that union dues have not been collected from workers since early in 1967.

Worker-peasants are not eligible to become union members. Union leaders may have tried to protect the interests of permanent workers whose positions seemed to be threatened by the new system. For whatever reasons, the press has for many months attacked "trade unionism" and "welfare trade unions." The "workers' congresses" which have been formed at city and province level during late 1967 and early 1968 have been designed primarily to support the Revolutionary Great Alliance program. These congresses may also be designed to provide a new organizational framework for workers, including the worker-peasants, but one which will not administer fringe benefits.

Responsibility for political exhortation of workers and maintenance of labor discipline was vested in the unions until the mid-sixties. Increasingly since then those functions have been assumed by political offices staffed by former PLA cadres. Since early 1967 the army has also taken over the unions' role in educating the workers.

E. Political Aspects of the Problem

It is possible, though by no means certain, that the desirability of pressing forward with the worker-peasant concept was one of the policy issues which contributed to the split between Mao Tse-tung and Liu Shao-ch'i, and thus to the Cultural Revolution.

Liu Shao-ch'i and other administrators may well have agreed to experiment with the system and even to expand it in 1964 and early 1965. Indeed, some features of the system may make some economic sense, provided, which is doubtful, they could be executed without seriously impairing worker morale and lessening productivity.

Available information about economic practices from 1962 onward and the charges brought against "the handful" by the Maoists, support the conjecture that administrators, not deeply persuaded of the infallibility of Mao's judgment, could be expected to withdraw their support for radical experiments which were opposed by large numbers of peasants and industrial laborers. There was at least one hint that this was the case. A Radio Kweiyang broadcast of September 13, 1967 charged that "the handful" had planned to alter the labor system on state farms beginning in 1966. The imprecise language of the broadcast implied that the "scheme" would have conferred per-

manent status on all workers and that this may have been an instance of local authorities undertaking, in the name of a Maoist program, some reforms which in fact deviated from the objectives of that program.

F. Prospects for the Future

The main themes of current propaganda of the Cultural Revolution call for frugality, self-sacrifice, and absolute obedience to the Thought of Mao Tse-tung, all suitably tailored for people who have had, or are about to have, something taken away from them. Improvement of living standards is clearly not on the list of Maoist goals for the near future. At its best, the Maoist position seems to call for raising standards for all at the same time, but until then for no one. The report from Radio Hofei, noted earlier, suggests that the regime recognizes the existence of genuine labor grievances, but is procrastinating on remedial measures for both economic and ideological reasons.

The worker-peasant system is clearly consistent with Maoist ideals and goals. All the evidence indicates that the Maoists are determined to go ahead with it, despite massive resistance to it. Although the Maoists in September 1967 took steps to tamp down the waves of unrest and violence which swept the mainland during the summer, new reports of clashes between groups of workers, peasants, and students began to mount in November. These clashes have continued during the winter. These recent troubles — at least in some important cases — have involved the recurrence of grievances over labor and wage systems, not all of which directly involve the worker-peasant issue.

The railway strikes[25] which first broke out in December 1966 have flared again this winter; they involve members of a highly skilled elite group, although developments in the worker-peasant system may also have been a factor. Changes in wage systems have undoubtedly alienated other workers and apparently contributed to the current disturbances; and the pressures of the Cultural Revolution on workers, peasants, and youths have been a major factor. In every case, the breakdown in party and government control mechanisms have almost certainly heightened tension and uncertainty.

The management of China's industries is clearly in disorder. Maoist labor and manpower programs have aggravated existing stresses in the ranks of labor and antagonized other segments of the population as well. There is every reason to believe, however, that the Maoists will persist in their efforts to overhaul the labor system and to impose changes in bonus, incentive, and possibly wage systems. Clearly, they believe that these changes can be made successfully. Events of the last year indicate, however, that these changes will be imposed not only painfully, but at the cost of generating additional popular hostility toward both the regime and the PLA which, increasingly, is serving as its executive instrument.

NOTES

1. *People's Daily,* Peking, October 22, 1964.

2. *Ta Kung Pao,* Peking, October 13, 1964.

3. *People's Daily,* October 16, 1964.

4. *Water Transport (Shui-yun),* Peking, November 7, 1964.

5. There are recent indications that in Shanghai and Canton the urban unemployed as well as peasants from suburban communes are employed as temporary and/or contract workers.

6. The Chinese Constitution guarantees the right to work, the right to assistance in old age, illness, or when disabled, but does not specifically provide for unemployment benefits. Moreover, most industrial workers obtain benefits through their places of employment, generally through the unions. Therefore, a worker detached from his factory is no longer eligible for benefits. In some instances, street committees are believed to play a role in administering fringe benefits.

7. Such seemed to be the meaning of a Radio Kunming broadcast (November 30, 1966) on the success of the worker-peasant system in the Yunnan No. 1 Coal Mine. "In the past when veteran workers retired, most of them always stayed in their homes," said the broadcast. "Now they are settled at agricultural and sideline (sic) production bases, where they labor to the best of their ability."

8. Title: "The Worker-Peasant Labor System in Finance and Trade Departments," translated in *Survey of China Mainland Magazines,* Hong Kong, American Consulate-General, No. 534, July 25, 1966. The article noted that the temporary and seasonal worker system in "old China" was "essentially different from the worker-peasant labor system found in the socialist society." This claim was genuine, for the Maoist program, unlike traditional practices, involves replacement of permanent workers by temporary ones.

9. *Liberation Daily,* Shanghai, October 9, 1965.

10. *Ta Kung Pao,* Peking, March 5, 1965.

11. In what was at least a remarkable coincidence, Red Guard slogans attacking T'ao Chu (former Kwangtung and Central-South China party boss) as an exponent of the "bourgeois" line appeared in Peking on December 29, 1966, and in early January a major campaign was mounted against him.

12. Whether in response to the December 26 *People's Daily* editorial or for other reasons, a joint notice was issued on January 2, 1967 by the Ministry of Labor, the All-China Federation of Trade Unions (ACFTU), and the National Red Laborers' Rebel General Corps. The text of the notice was not published, and was, in fact, soon condemned. However, it apparently dealt with the temporary and contract worker problem. Existence of the notice was first revealed in a Shanghai *Wen Hui Pao* article of February 28 which branded it a "product of counterrevolutionary economism."

    A Peking poster attributed to Chou En-lai a January 12, 1967 declaration that the ACFTU and the Ministry of Labor, without consulting the Center, had authorized reinstatement of all workers dismissed before the Cultural Revolution began. In addition, a Red Guard tabloid, *Physical Culture Fighting Front,* purported to give the text of a Central Committee-State Council directive repudiating the notice of January 2 (See *Survey of China Mainland Press,* No. 3913, April 6, 1967). In summary, the directive allegedly stated that: (a) the January 2 notice is illegal and should be canceled; (b) systems governing the employment of temporary workers, contract workers, and rotation workers are "rational in some cases" but erroneous in others; (c) the Central Committee is studying ways to reform the system, but in the meantime established procedures are to be followed; (d) workers in the foregoing categories who have been branded counterrevolutionary because they criticized their leaders should be acquitted of the charges; and (e) those who have been dismissed for this reason should be reinstated.

13. Reported in *Wen Hui Pao,* Shanghai, February 28, 1967.

14. *Wen Hui Pao,* Shanghai, February 19, 1967.

15. The Shanghai Mansion is a building where workers from the countryside appear to have barricaded themselves.

16. *Wen Hui Pao,* Shanghai, February 28, 1967.

17. Like the worker-peasant system, the work-study program not only appeals to radical ideologues but has the advantage of reducing demands on the State budget.

18. China's urban youths were first sent to the rural areas as part of a general "back to the countryside" movement beginning in 1957. By 1964 the movement had become a major policy frequently referred

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to in the mainland press. See "Mao's Revolutionary Successors," Part I and Part II, *Current Scene*, Vol. V, Nos. 13 and 16, August 15 and October 2, 1967.

19. *Wen Hui Pao*, Shanghai, January 25, 1967.

20. See *Revolutionary Youth*, No. 2, November 10, 1967, in *SCMP*, No. 4093, January 5, 1968, pp. 1-11.

21. Anna Louise Strong, *Letters From China*, Peking, New World Press, 1964, Letter No. 13.

22. Available information indicates that industrial workers are eligible for retirement at age 55-60, with pensions that amount to 50-70 percent of their wages.

23. *Liberation Daily*, Shanghai, December 20, 1967.

24. Translated in *SCMP*, No. 4129, March 1, 1968.

25. See "Trouble on the Tracks," *Current Scene*, Vol. V, No. 8, May 19, 1967.

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